NYSE: ZBH

Recommendation: **LONG**

Price Target: **$157**

The ZBH Bulls: Seth, Brianna, Luca, Logan

April 9th 2026



Zimmer Biomet is the replacement company you can Trust

ZIMMER BIOMET

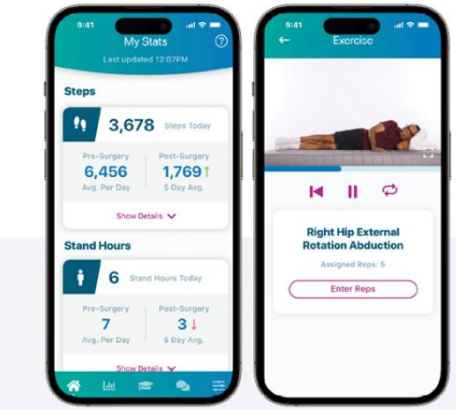
- Zimmer Biomet (ZBH) is a global medical device company focused on musculoskeletal healthcare, primarily manufacturing orthopedic implants and surgical technology used in joint replacement technology and bone repair procedures.

Implied Share Price: **$157**

NET SALES - YEAR ENDED DECEMBER 31, 2025
(in millions, unaudited)

	Net Sales	% Change	Constant Currency % Change	Organic Constant Currency % Change
Geographic Results				
United States	$ 4,764.0	7.3 %	7.3 %	3.7 %
International	3,467.5	7.0	5.2	4.1
Total	$ 8,231.5	7.2 %	6.4 %	3.9 %
Product Categories				
Knees				
United States	$ 1,867.5	2.9 %	2.9 %	2.9 %
International	1,454.8	7.1	5.5	5.5
Total	3,322.3	4.7	4.0	4.0
Hips				
United States	1,094.6	5.3	5.3	5.3
International	998.8	4.1	2.2	2.2
Total	2,093.5	4.7	3.8	3.8
S.E.T. *	2,150.2	15.2	14.6	4.1
Technology & Data, Bone Cement and Surgical	665.6	4.0	2.9	2.9
Total	$ 8,231.5	7.2 %	6.4 %	3.9 %

* Sports Medicine, Extremities, Trauma, Craniomaxillofacial and Thoracic



mymobility® Care Management Platform



"Time is the friend of the wonderful company."
— Warren Buffett

- Founded in 1927
- Main Products: Knee, Hip, and shoulder replacements
- Robotics- Assisted Surgery
- Mymobility, Care Management Platform

Business Overview

ZIMMER BIOMET

Knee & Hip

- Largest segment
- #1 manufacturer of hip implants in the world
- Top 3 in knee implants
- Most profitable segment
- Recurring and stable long-term revenue from aging population

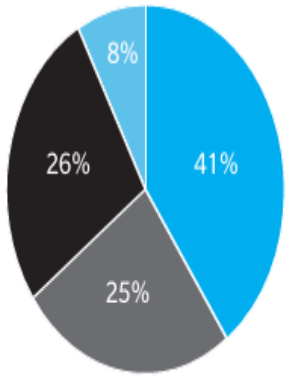
Sports, Extremities, Trauma

- Includes sports medicine, shoulders, fractures, hands, and feet
- Fastest growing sector
- Expanding pipeline of products
- Acquisition driven growth (Paragon 28)

Robots & Technology

- Heavily invested in surgical robotics, AI planning, and digital surgical tools
- Key product, ROSA, is one of the leading products in this market
- Robotics increases switching costs and improves competitive moat

2025 Sales by Product Category



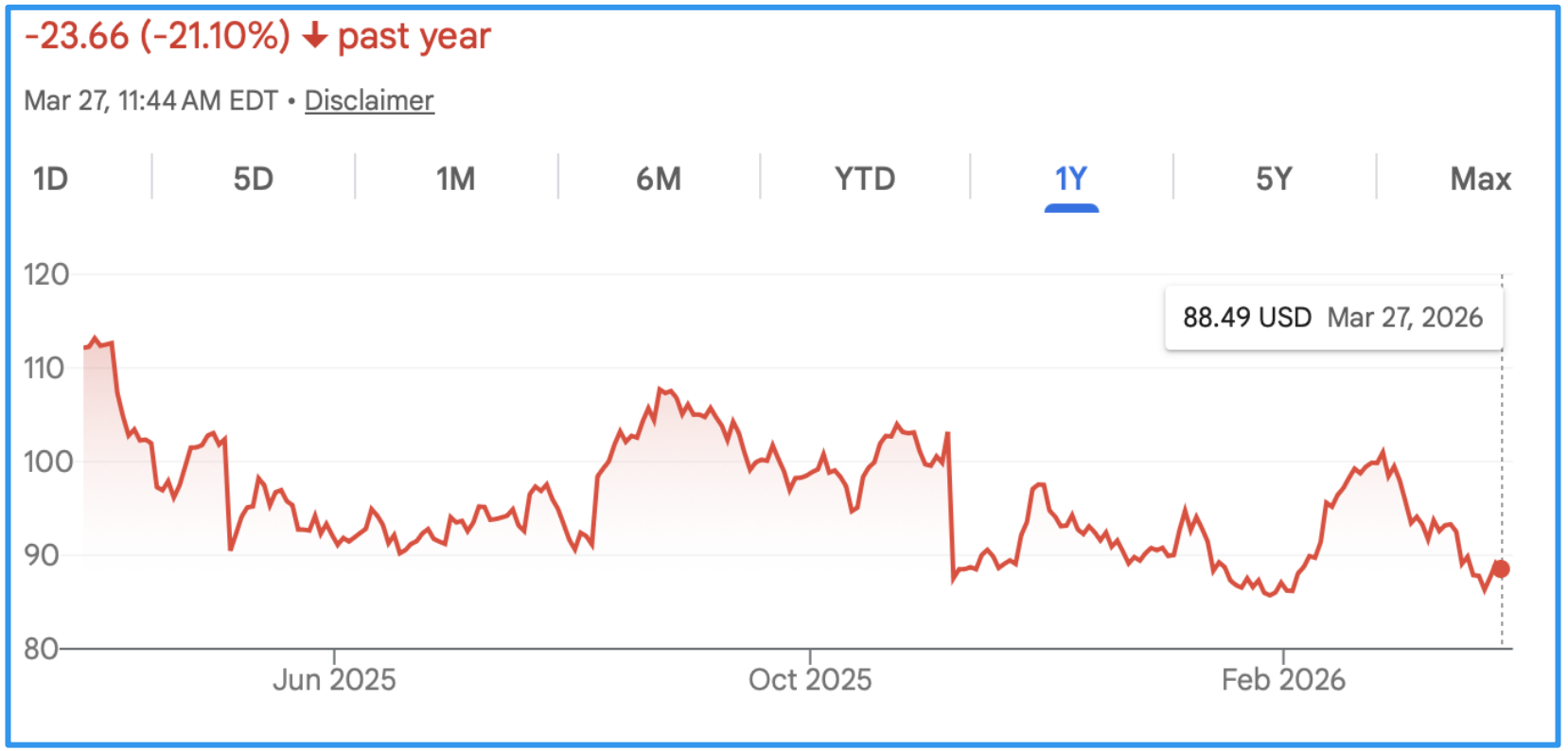
	2021	2022	2023	2024	2025	Reported	Constant Currency[1]
Knees	$2,648	$2,778	$3,038	$3,174	$3,322	5%	4%
Hips	1,856	1,895	1,967	1,999	2,094	5%	4%
S.E.T.	1,728	1,697	1,753	1,866	2,150	15%	15%
Other	595	570	636	640	666	4%	3%
Consolidated	$6,827	$6,940	$7,394	$7,679	$8,232	7%	6%

- Headquarters: Warsaw, Indiana
- 25 Manufacturing Sites worldwide
- Vertically Integrated
- U.S. Centered Manufacturing

Recent Performance

Down 20% From High

ZIMMER BIOMET



Why Is ZBH Down?

- November 2025 earnings miss caused a 15% single day stock drop.
- Lowered revenue guidance from 4.5% to 4.0% due to weaker demand in Latin America and emerging European markets
- Cautious 2026 outlook

Key Metrics

Market Cap: 17.25B	52Week: 84.59-114.44	D/E: 0.61
P/E: 24.86	Beta: 1.00	EPS: 3.55

Underlying Business Still Intact

Despite the drop, we believe the core of Zimmer's business is still intact and view this 20% downturn as a ***Buying Opportunity***

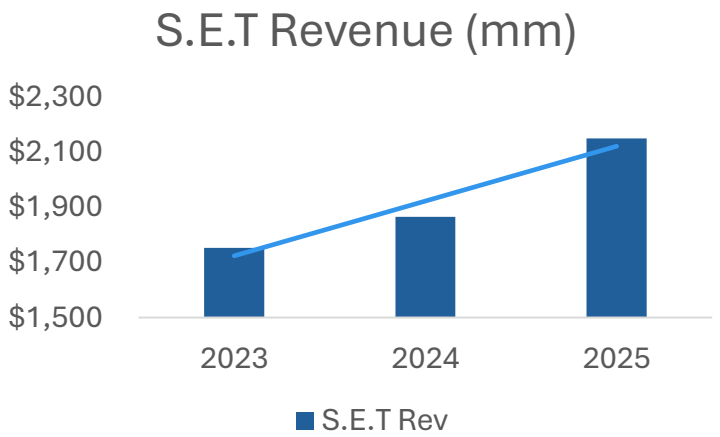
Salesforce Restructuring

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Overview

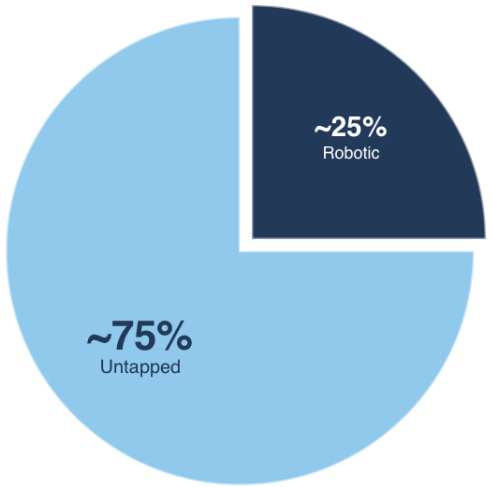
- Major reorganization of the **~2,500 person** U.S. salesforce.
- Moving from independent contractors to **dedicated and specialized** salesforce.
- Full completion expected by **end of 2027.**

Specialized Salesforce Pays Off



- Zimmer's specialized sales already working in S.E.T.
- 15% 3-year growth in S.E.T versus 4.7% in knee and hip. (2)
- When implemented, will drive growth in knee and hip.

Large Untapped Robotics Market



Zimmer does not need to outright win the robotics race; they just need a share.

"75% of the U.S. knee surgery market is not currently being performed using a robot"(1)

"Robotic TKA procedures increased 600%+ from 2015 to 2020 and are projected to reach 70% of all arthroplasties by 2030" (3)

What Are The Results?

- "The final core initiative" in Zimmer's multi-year transformation and "by far the most crucial step" to become a durable mid-single-digit+ growth company.
- Perfect timing for new robotics.

(1) Barclays (2) MedDeviceOnline (3) OrthoSpineNews

mBOS Robotics Are Here To Play

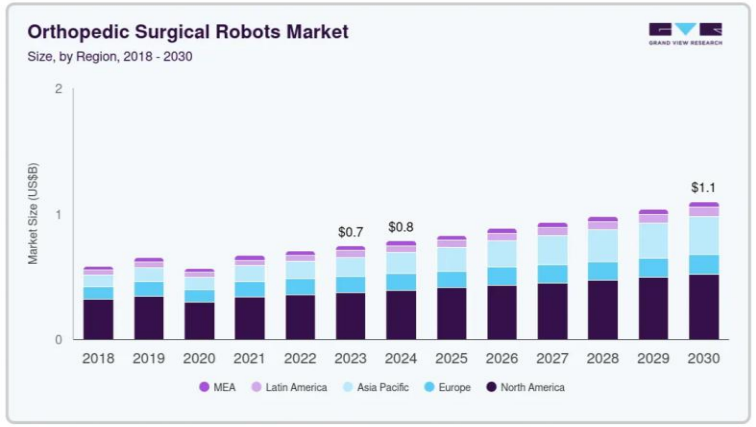
ZIMMER BIOMET

3 Levels of Robotics

mBOS — CT-based planning with autonomous cutting. Robot executes the cut.

MAKO — Surgeon holds cutting tools, robotic arm provides resistance boundaries.

ROSA — Robot doesn't touch bone. Surgeon makes all cuts manually. Weakest competitive position.

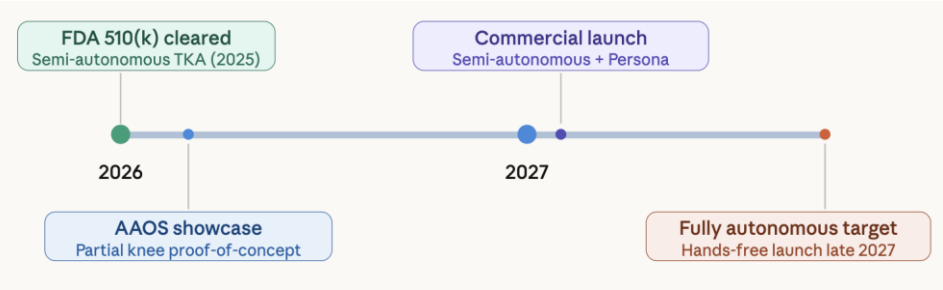


(1)





Timeline



"We view the new robot as a potentially significant upgrade from ROSA" (2)

Why Does This Matter?

- ZBH could "potentially benefit from winning back some share from surgeons who would like to be using more ZBH, but are not satisfied with ROSA as a robotic surgery platform" (2)
- mBOS levels the playing field – a low-volume community surgeon can match the precision of a high-volume specialist

(1) GrandViewResearch (2) Barclays

Competitive Analysis

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Company	FY2025 Rev	Organic growth	EV/EBITDA	Robotic platform	Knee share	Hip share
Zimmer Biomet ZBH	$8.2B	3.9%	~12x	ROSA	33%	25%
Stryker SYK	$25.1B	10.3%	~20-22x	Mako	29%	24%
DePuy Synthes (J&J) JNJ spinoff	~$9.2B	~2-3%	N/A (pending)	VELYS	16%	21%
Smith & Nephew SNN	$6.2B	~5%	~12-13x	CORI	11%	9%

Key Takeaways

- SYK's premium reflects where it's been. ZBH's discount ignores where it's going.
- ZBH is the market share leader trading at the cheapest multiple in the peer group.
- By 2028, the market will be evaluating a fundamentally different ZBH than what's priced today

"the reasons for underperformance are known and are being addressed" – CEO Ivan Tornos

How ZBH Fends Off Their Share

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Surgeon Switching Costs *(Strong)*

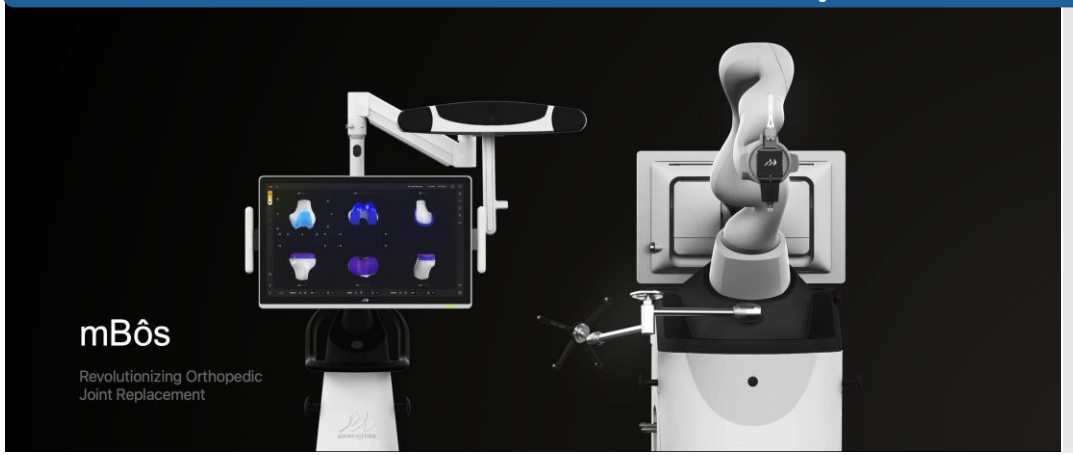
- Once a surgeon is trained on a specific robotic platform, large amounts of money and time would need to be invested to switch.
- Surgeon preferences and muscle memory are built over years of training on the same platform.

Result?

- Surgeons develop **strong platform loyalty.**
- Switching requires retraining, slower surgeries, and **higher risk.**

"Some implant companies with robotics have already demanded premium pricing because of their loyal surgeons." (1)

Robotic Ecosystem



- Not just a robot – a system.
- Once a robot is installed, additional Zimmer products are purchased to go with it.

Result?

When mBOS systems begin to be placed in operating rooms, it will essentially be a multi-year annuity for Zimmer.

It creates a recurring pull-through for the higher-margin implant consumables.

"A platform beats a product every time" – Zero to One

Regulatory Barriers

Getting orthopedic implants through FDA clearance takes enormous amounts of time and capital. This is an oligopoly where the incumbents benefit.

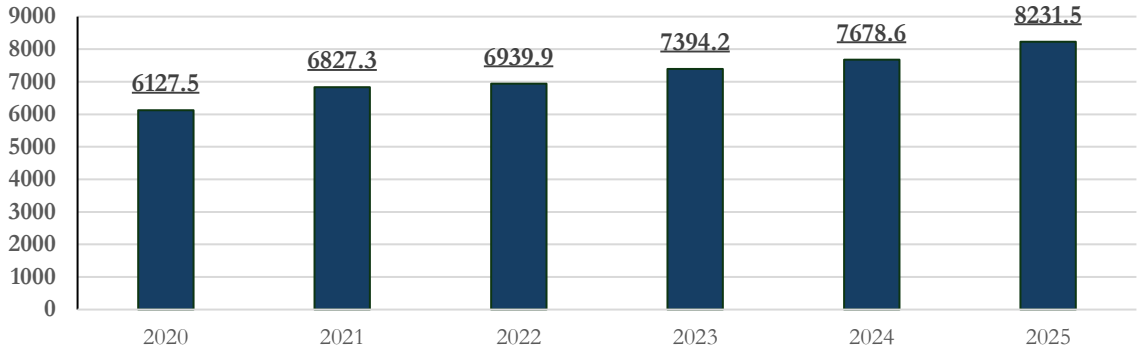
(1) NashvilleJointReplacement

Summary Financials

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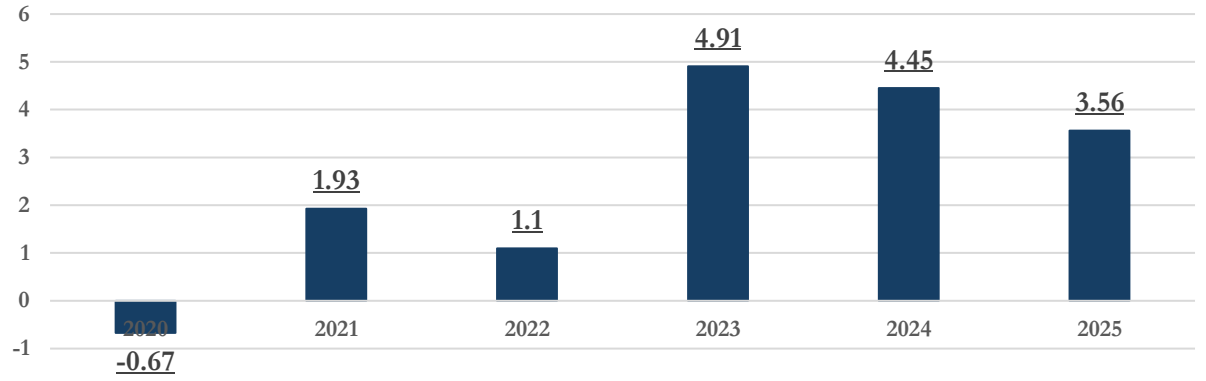
Revenue

"Revenue grew consistently from $6.1B to $8.2B (2020–2025), reflecting organic growth and the Paragon 28 acquisition, with no meaningful step-downs across the period."



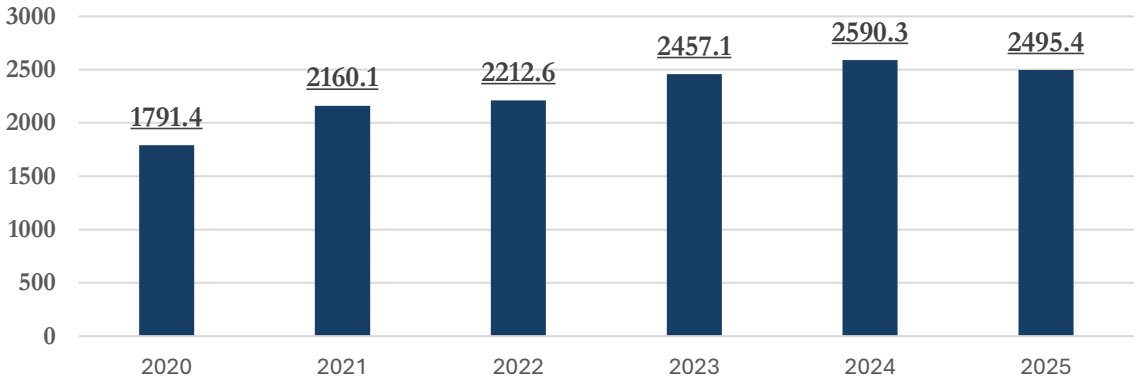
EPS

"EPS recovered sharply from a $(0.67) loss in 2020 to a $4.91 peak in 2023, then pulled back to $3.56 in 2025 as acquisition dilution and integration costs weighed on per-share earnings.



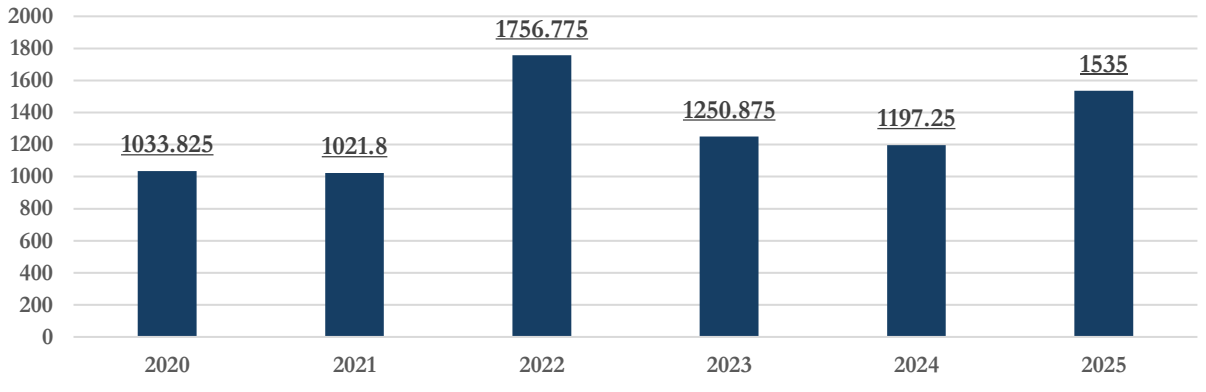
EBITDA

"EBITDA expanded steadily through 2024 but dipped in 2025 as integration costs and Paragon 28 dilution weighed on margins, normalization expected as synergies materialize"



FCF

"FCF spiked to $1.76B in 2022 on favorable working capital timing, then normalized in the $1.2–1.5B range, a healthy conversion level relative to EBITDA.



Zimmer is a Hidden Gem in Healthcare

ZIMMER BIOMET

DCF Analysis ($mm)	FY2020 12/31/2020	FY2021 12/31/2021	FY2022 12/31/2022	FY2023 12/31/2023	FY2024 12/31/2024	FY2026 12/31/2026	FY2027 12/31/2027	FY2028 12/30/2028	FY2029 12/30/2029	FY2030 12/30/2030	FY2031 12/31/2031
Stub						1.26	2.26	3.26	4.26	5.26	6.26
Discount Period						(0.13)	0.24	1.24	2.24	3.24	4.24
Revenue	6,827	6,940	7,394	7,679	8,232	8,575	8,918	9,374	9,958	10,690	11,596
Revenue Growth	*0%*	*2%*	*7%*	*4%*	*7%*	*4%*	*4%*	*5%*	*6%*	*7%*	*8%*
Asia Pacific	1,248	1,188	1,178	1,193	1,258	1,350	1,404	1,471	1,552	1,649	1,764
Europe, Middle East and	1,237	1,477	1,592	1,691	1,829	1,900	1,976	2,075	2,199	2,353	2,541
America	4,102	4,296	4,624	4,795	5,145	5,325	5,538	5,829	6,208	6,689	7,291
EBIT	1,222	1,286	1,505	1,594	1,402	1,460	1,516	1,640	1,793	1,978	2,203
EBIT Margin	*18%*	*19%*	*20%*	*21%*	*17%*	*17%*	*17%*	*18%*	*18%*	*19%*	*19%*
Tax Expense	54	112	42	131	126	240	250	277	309	349	397
Effective Tax Rate	*4%*	*9%*	*3%*	*8%*	*9%*	*16%*	*17%*	*17%*	*17%*	*18%*	*18%*
NOPAT	1,168.90	1,173.90	1,463.20	1,462.60	1,275.90	1,220.00	1,265.91	1,363.66	1,483.32	1,629.16	1,806.68
D&A	938	926	952	996	1,094	1,100	1,070	1,043	1,021	1,002	986
Capex	417	446	603	444	525	530	490	492	498	508	522
Changes in NWC	330	(397)	35	299	(52)	100	178	187	199	214	232
UFCF	1,359	2,052	1,777	1,716	1,897	1,690	1,667	1,727	1,807	1,910	2,039
PV of FCF						1,707	1,637	1,572	1,524	1,492	1,476

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	4.33%
Beta	1.00
Risk Free Rate	4.31%
Cost of Equity	7.29%
Weighted Average Cost of Debt	4.42%
Tax Rate	10.00%
Cost of Debt	0.62%
Total Equity	$17,615
Total Debt	$6,632
Equity/Total Capitalization	84.39%
Debt/Total Capitalization	15.61%
WACC	7.91%

Potential Tailwinds:

- **Robotics** & digital surgery (Rosa platform) expanding market share and pricing power
- **Ozempic/GLP-1** concerns overblown: weight loss may increase surgical candidacy long-term
- **Aging** U.S. population driving secular growth in hip/knee replacement demand

Base Case:

Target Price: **$157.51**
73.1% appreciation from current share price
WACC of **7.91%** with a 12.0x EV/EBITDA exit multiple

Terminal Value	
Exit Multiple Method	
2034 EBITDA	$3,189
EV/EBITDA Exit Multiple	12.0x
Terminal Value	$38,267
PV of Terminal Value	$27,712
PV of Projection Period	$9,409
PV of Terminal Value	$27,712
Implied TEV	$37,120
(-) Debt	$7,253
(+) Cash	$621
Implied Equity Value	$30,488
Diluted Shares Outstanding	194
Implied Share Price	$157.51
Upside/Downside	73.1%

Sensitivity Analysis+ Reverse DCF

ZIMMER BIOMET

Zimmer Biomet only needs to grow at 5% to justify its price!

Sensitivity Analysis

Revenue Growth

Discount Rate	89.52	2%	3%	4%	5%	6%	7%	8%	9%	10%
	7%	139.34	147.38	155.73	164.39	173.37	182.68	192.32	202.32	212.68
	8%	110.56	117.17	124.04	131.15	138.53	146.17	154.10	162.30	170.80
	9%	90.00	95.60	101.40	107.42	113.65	120.11	126.81	133.74	140.91
	10%	74.58	79.41	84.43	89.62	95.00	100.58	106.35	112.33	118.51
	11%	62.58	66.82	71.22	75.78	80.50	85.39	90.45	95.69	101.11
	12%	52.98	56.75	60.67	64.72	68.91	73.25	77.75	82.39	87.20
	13%	45.12	48.51	52.03	55.66	59.43	63.33	67.36	71.52	75.83
	14%	38.57	41.65	44.83	48.12	51.53	55.06	58.70	62.48	66.37
	15%	33.03	35.84	38.74	41.75	44.85	48.07	51.39	54.83	58.38

5 Year Reverse DCF

WACC: 10%
5 Year CAGR: 5%
Current Market Price:
$89.52

Sensitivity Analysis

Terminal Growth Rate

Discount Rate	89.52	1%	1.5%	2%	2.5%	3%	3.5%
	6%	170	190	214	245	287	345
	7%	136	149	164	183	206	236
	8%	112	121	131	143	158	176
	9%	93	100	107	116	126	138
	10%	79	84	90	96	103	112
	11%	67	71	76	81	86	92

Reverse DCF: TGR

WACC: 10%
Terminal Growth Rate:
2%
Current Market Price:
$89.52

Debunking the Bear Case

ZIMMER BIOMET

Sales Force Transformation

The sales force overhaul at Zimmer Biomet could disrupt key surgeon relationships, leading to short-term revenue volatility, share loss, and margin pressure, especially given past execution inconsistency

However:

The sales force transformation is a one-time, self-inflicted headwind, not a structural problem. Management is choosing short-term pain for long-term gain.

Robotics Adoption Risk

The ROSA robotic surgery system faces strong competition from established players like Stryker, and high costs may slow hospital adoption.

However:

ROSA doesn't need to win the markets; it just needs to deepen relationships within existing accounts. Even modest adoption strengthens lock-in and drives incremental implant sales.

Reimbursement & Policy Risk

Medicare/Medicaid funds most U.S. joint replacements. With $2T+ deficits, Washington may extend pharma-style price negotiation to device makers.

However:

Implants can't be negotiated like pills, surgeon preference and robotics lock-in limit commodity pricing. Any policy shift would phase in slowly, giving ZBH time to adapt.

Recent Strategic Acquisitions

ZIMMER BIOMET

Date	Company	Transaction Price ($MM)	Product Offering
Jul 14, 2025	Monogram	$177	AI-driven robotic systems for knee replacement surgery, semi-autonomous and future fully autonomous surgical robots.
Apr 21, 2025	Paragon 28	$1200	Foot and ankle orthopedic implants and surgical systems.
Aug 07, 2024	Orthogrid Systems	Undisclosed	AI-driven surgical guidance system for hip replacement.
May 01, 2023	Ossis	Undisclosed	3D-printed, patient-specific orthopedic implants, primarily used for pelvic, hip, and complex bone reconstruction.
Jan 05, 2023	Embody	$155	Collagen-based implants for tendon repair, rotator cuff repair, ligament healing.

Core Segments

Monogram Technologies and OrthoGrid Systems enhance the hips and knees segment through AI-driven surgical assistance, improving precision, outcomes, and surgeon adoption.

High Growth Segments

Paragon 28 diversifies Zimmer Biomet's portfolio by expanding into the fast-growing extremities market, strengthening its position in foot and ankle care.

Unexplored Segments

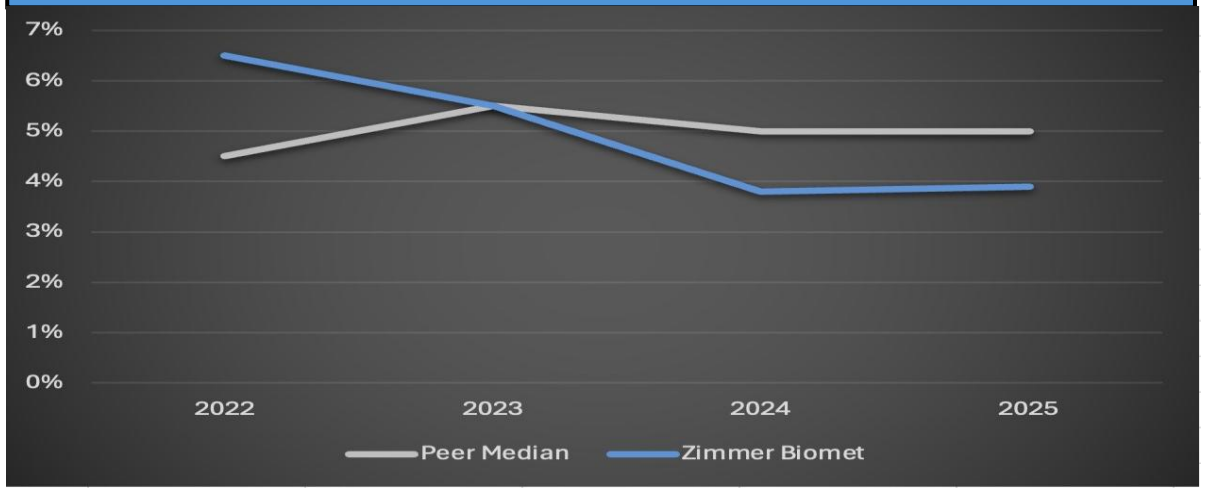
Embody and OSSIS further diversify the portfolio by offering soft tissue repair and complex reconstruction solutions, expanding beyond traditional joint replacement procedures.

Separation from the Competition

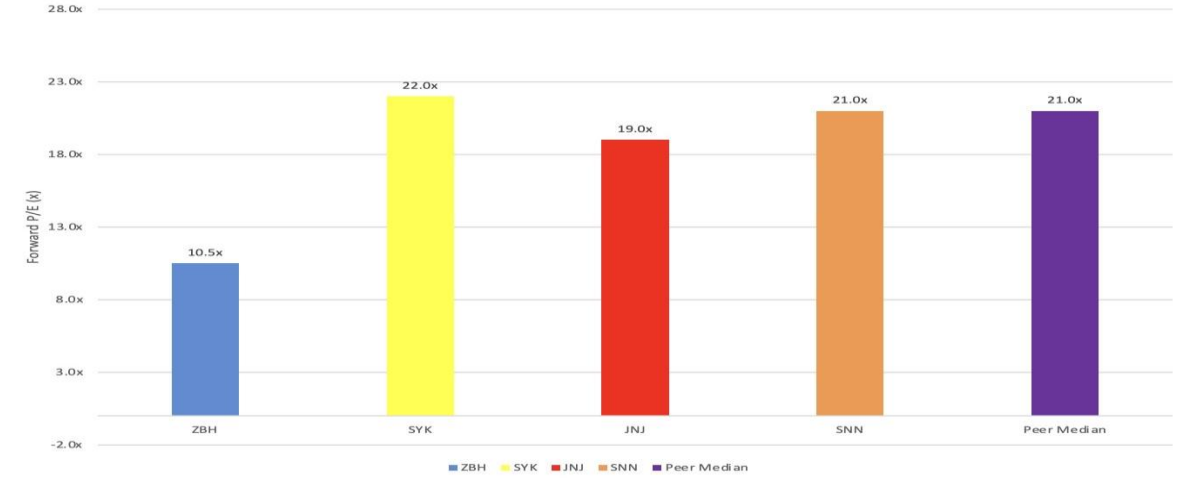
Commentary

- Market leader in knees and hips — the largest segment in global orthopedics, generating higher top-line revenue than industry peers
- Controls 33% of the global knee reconstruction market, with more upside from the integration of Monogram Technologies
- Organic revenue growth of 3.9% trails the peer median, though the comparison is distorted by Stryker's outsized 10% growth
- Trades at a forward P/E ~50% discount to the peer median, a gap we expect to close as integration milestones are hit and innovative technology continues to come online

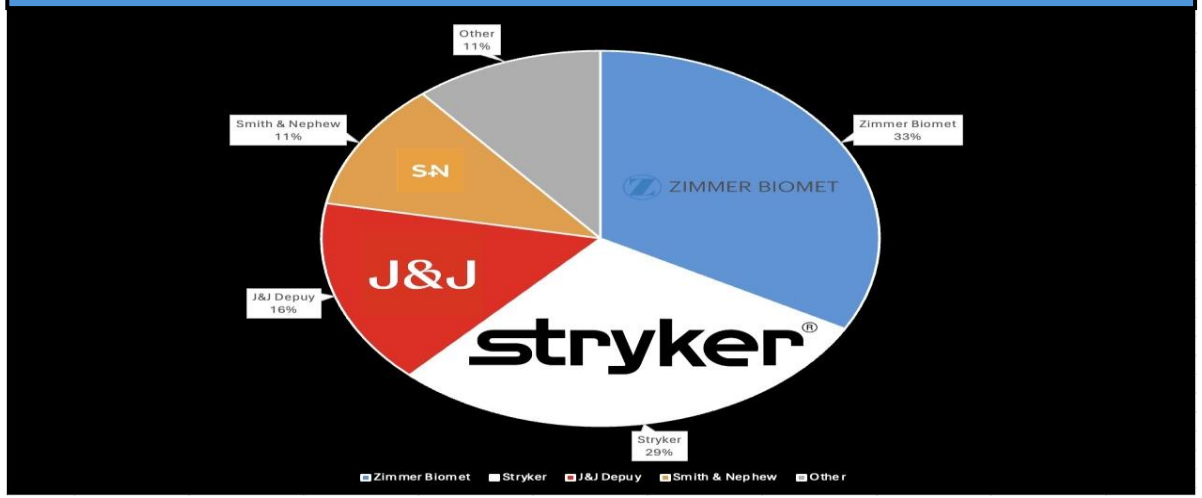
Annual Organic Revenue Growth Rate [1]



Forward P/E Compared to Peers [1]



Global Knee Reconstruction Market Share - FY2025



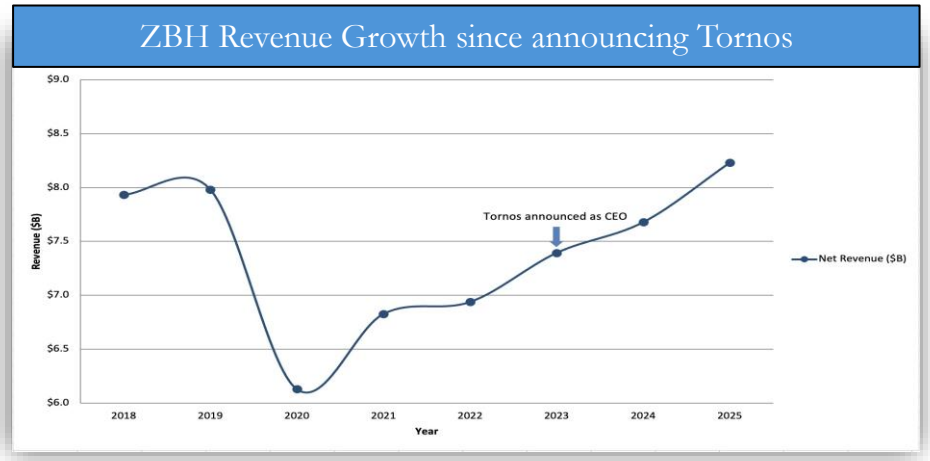
[1] *Peers include: Stryker, Johnson & Johnson Depuy, Smith & Nephew*

ZBH's Established Leader

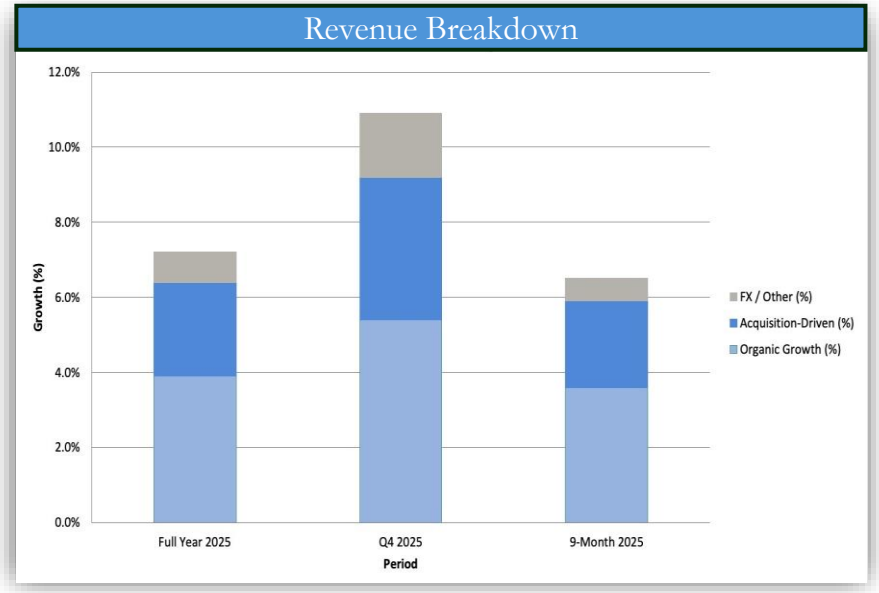
Chairman, President, and CEO



Ivan Tornos



Source: Capital IQ



Source: Zimmer Biomet Investor Relations

Proven Industry Leader

- Chairman, President & CEO of Zimmer Biomet (appointed CEO 2023)
- Former COO and Group President at Zimmer Biomet
- 30+ years of healthcare leadership
- Prior senior executive roles at Becton Dickinson, C.R. Bard, Covidien, Baxter International, and Johnson & Johnson
- Global experience

Driving Growth and Strategic Momentum

- Grew total sales 4% in first calendar year as CEO
- Oversaw four acquisitions as CEO
- Doubled product pipeline compared to 2018
- Clear strategic initiatives
- ZBH named one of Forbes "America's Best Large Employers" in 2024

Key Difference Makers



Suketu Upadhyay
Chief Financial Officer
Executive Vice President

- Appointed CFO following prior leadership at Endo International
- Expanded role to integrate finance, global operations, and supply chain
- Optimized capital allocation toward high-return growth and innovation initiatives
- Holds degrees from University of Michigan (MBA), University of Mumbai (BA)



Jehanzeb Noor
Senior Vice President
Chief Strategy, Business Development, Innovation and Transformation Officer

- Named Chief Strategy & Innovation Officer in 2025
- Oversees innovation pipeline, including robotics, AI, and digital surgery platforms
- Overseen four high-impact acquisitions during his tenure
- Holds degrees from Massachusetts Institute of Technology (MBA) & (BA)



Kevin Thornal
Group President, Global Businesses and the Americas

- Joined Zimmer Biomet as Group President in 2023
- Oversees the Americas region, the company's largest revenue contributor
- Responsible for commercial strategy, product execution, and market expansion
- Former CEO & President of Nevro

NYSE: ZBH

Recommendation: **LONG**

Price Target: **$157**

